

China Semiconductors

Semiconductor Manufacturing International Corp

Rating

Outperform

Price Target

981.HK

120.00 HKD

688981.CH

220.00 CNY



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SMIC 2Q26: Strong beat across the board, AI related demand keeps capacity tight

SMIC released [2Q26 earnings](#) on Aug 13th, 2026, with a strong beat across the board by revenue, GPM, OPM to NPM, driven by growing capacity, better UT, and higher ASP. Management remains constructive into 2H and 2027 on overall demand and hinted that they will continue to add new capacity given that supply continues to see shortages. **Maintain Outperform**, the stock already reacted positively today post earnings, but we believe there is still clear upside from here. We adjust our [model](#) slightly according to the results with PT unchanged (120HKD/220 CNY).

Both 25% GPM and 70% EBITDA are far ahead of expectations. The company delivered \$3.0bn revenue (+36% YoY/+20% QoQ), beating prior guidance of +14-16% QoQ and consensus. GPM expanded to 25.3%, well above the 20-22% guidance, as ASP and product mix improved. Gross profit jumped +51% QoQ/+69% YoY. EBITDA reached \$2.1bn, with EBITDA margin at a striking 70.2%, and the management indicated that they will be able to maintain at such a high level for the next few quarters, we believe the advanced logic contribution is starting to play an increasingly important role. Wafer shipments rose +14% QoQ, and utilization ticked up to 93.7%. Monthly capacity edged to 1,096 kwpm, reaching a new height in history.

Breakdown by end markets, AI is a clear performance pull, auto and consumer also provide solid support, and memory spillover further broadening the cycle. AI-related demand was the highlight. Mgmt cited that QoQ absolute value revenue growth for AI peripheral chips, compute/tablet and industrial & automotive reached over 40%. As for revenue mix, industrial and automotive further increased to 16.5% in 2Q26 (from 14.0% in 1Q26). Consumer electronics remained the largest bucket at 44.2%, still resilient. Computer & tablet mix also increased to 15.6%. We read this as classic AI spillover into mature logic/specialty. Memory tightness and AI infrastructure buildout are pulling adjacent ICs (including but not limit to PMIC, connectivity, and display), lifting foundry loading beyond pure AI SoC wafers. China revenue share climbed further to 90.2%.

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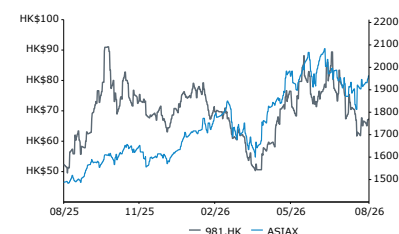
Reported EPS	F26A	F26E	F27E
981.HK (USD)	0.09	0.13	0.17
OLD	--	0.12	0.16
688981.CH (USD)	0.09	0.13	0.17
OLD	--	0.12	0.16

Financials	F25A	F26E	F27E	CAGR
Revenues (M)	9,327	11,835	14,604	25.1%
Gross Margin (%)	21.0	22.8	24.5	--

Close Date	14 Aug 2026			
981.HK Close Price (HKD)	71.30			
Price Target (HKD)	120.00			
Upside/(Downside)	68%			
52-Week Range	93.50/49.32			
ASIA	1,956.05			
FYE	Dec			
Div Yield	NA			
Market Cap (HKD) (M)	822,615			
EV (HKD) (M)	125,854			
Performance	YTD	1M	6M	12M
Absolute (%)	(0.2)	(9.0)	1.4	37.1
ASIA (%)	19.6	2.4	10.2	31.1
Relative (%)	(19.8)	(11.4)	(8.9)	6.0

Source: Bloomberg, Bernstein estimates and analysis.

Price Performance, 1YR



Source: Bloomberg, Bernstein estimates and analysis.

See the Disclosure Appendix of this report for required disclosures, analyst certifications and other important information. Alternatively, visit our [Global Research Disclosure Website](#).

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www.bernsteinresearch.com

Mgmt guided a further price uplift in 3Q26 and UT will further go up as demand is expected to stay strong. 3Q26 guidance calls for +2-4% revenue growth QoQ and GPM further expands to 26-28%, the GPM is a clear beat and the weaker rev growth guidance is due to the company proactively controlling the front loading of wafer shipment to maintain a smooth growth, demand outlook in the call from the CEO sounds much stronger than the number. UT is expected to reach 95% with more capacity added, ASP will further go up as the new capacity added are loaded with higher pricing products, we believe the company could deliver another beat next quarter. Across the end markets that are relatively weak in growth (such as mobile phone and TV related chips), supply is not growing much and likely will get tight again in the next few quarters, which should gradually support ASP recovery in those segments as well. Capacity expansion is set to accelerate, with customers continuing to revise demand up. Mgmt stated that they will flex existing capacity and fast-track qualification of incremental tools to relieve chain shortages.

Investment Implications

We rate SMIC Outperform.

DETAILS

EXHIBIT 1: Semiconductor Manufacturing International Corp (981.HK): Results Review

(US\$M)	2Q26	1Q26	2Q25	QoQ	YoY	Consensus	2Q26	Difference vs.	
	Actual	Actual	Actual				Guidance	Consensus	Guidance
Revenue	3,005.6	2,505.5	2,209.1	20.0%	36.1%	2,858	2856~2906	5.2%	3.4%~5.2%
Gross Profit	760.6	503.6	449.8	51.0%	69.1%	610.1	571~639	24.7%	19.0%~33.2%
GPM	25.3%	20.1%	20.4%	521bps	495bps	21.4%	20.0%~22.0%	396bps	331bps~531bps
Operating Profit	534.2	247.8	150.7	115.6%	254.5%	332.7		60.6%	
OPM	17.8%	9.9%	6.8%	788bps	1095bps	11.6%		613bps	
Net Income	479.2	197.4	132.5	142.7%	261.7%	251.3		90.7%	
NPM	15.9%	7.9%	6.0%	806bps	995bps	8.8%		715bps	
EPS (in US Cents)	5.9	2.5	1.7	141.1%	258.6%	3.4		75.0%	

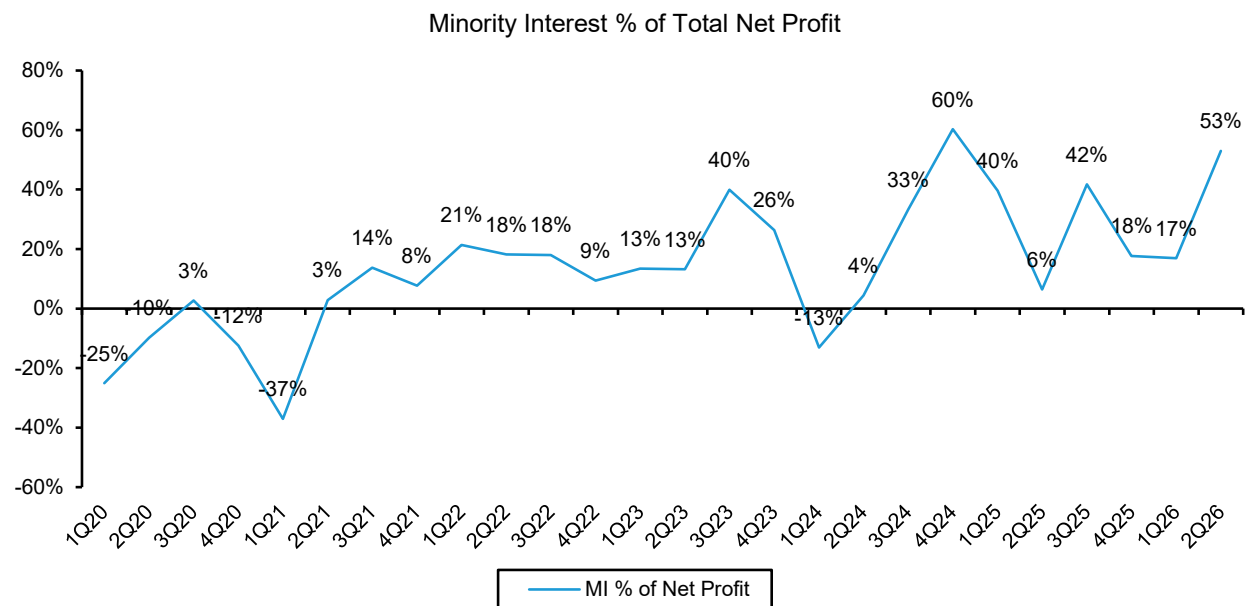
Source: Bloomberg, Company data, Bernstein analysis

EXHIBIT 2: SMIC 3Q26 guidance beat street consensus

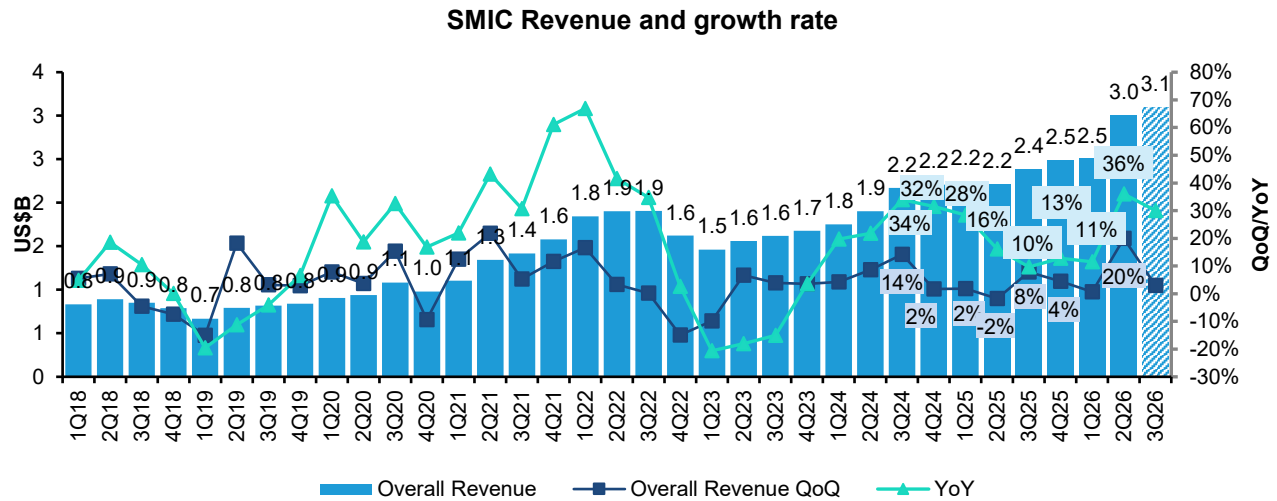
(US\$M)	3Q26 Guidance	3Q26 Guidance vs.		QoQ	
		Consensus	Consensus	Guidance	Consensus
Revenue	3,066 ~ 3,126	3,067	0% ~ 2%	2% ~ 4%	2.1%
Gross Profit	797 ~ 875	676	18% ~ 29%	5% ~ 15%	-11.1%
Gross Profit Margin	26% ~ 28%	22.0%	395bps ~ 595bps	69bps ~ 269bps	-326bps

Source: Bloomberg, Company data, Bernstein analysis

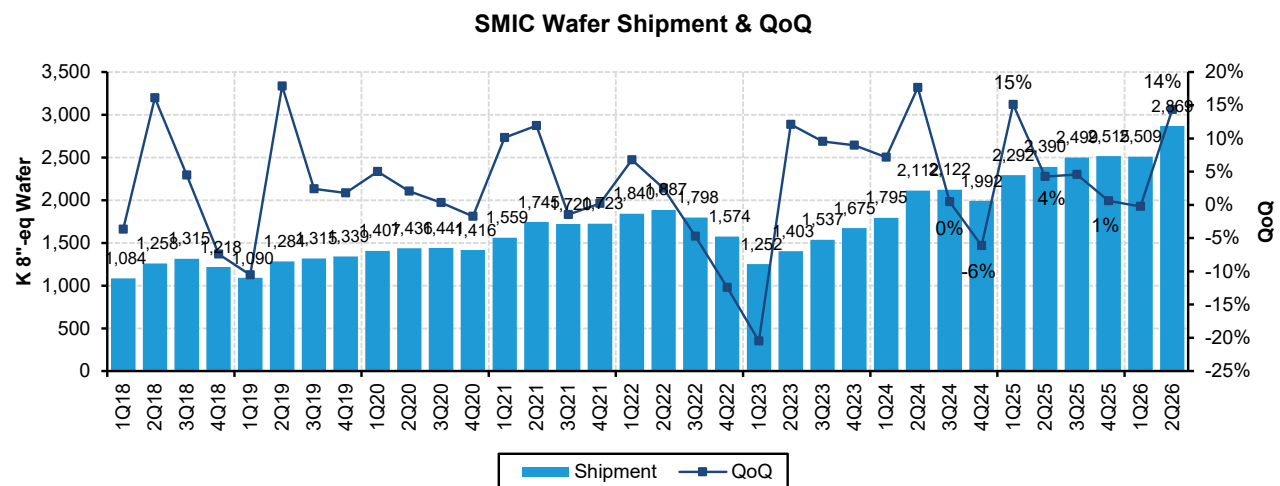
EXHIBIT 3: Minority interest % of total net profit increased to 53% in 2Q26.



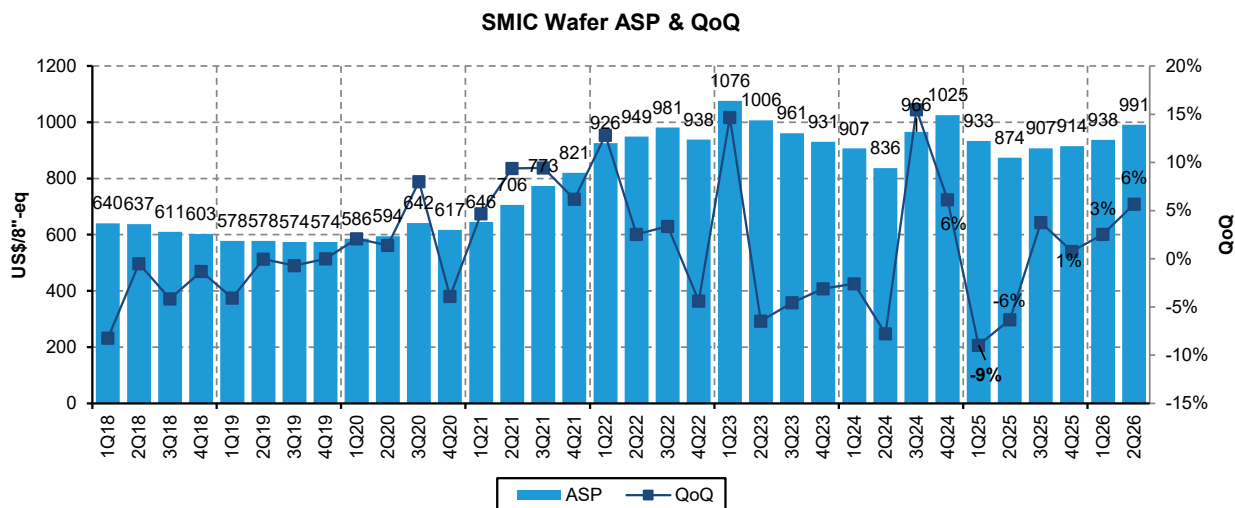
Source: Company reports, Bernstein analysis

EXHIBIT 4: **SMIC 3Q26 revenue guidance QoQ +3% at midpoint**

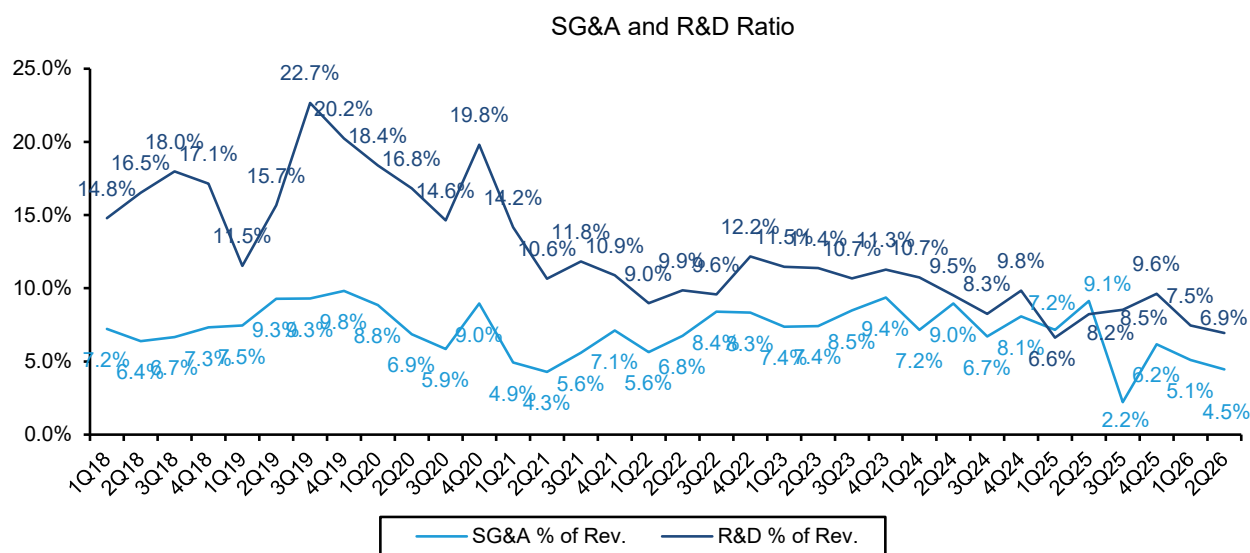
Source: Company reports, Bernstein analysis

EXHIBIT 5: **2Q26 shipment increased 14% QoQ**

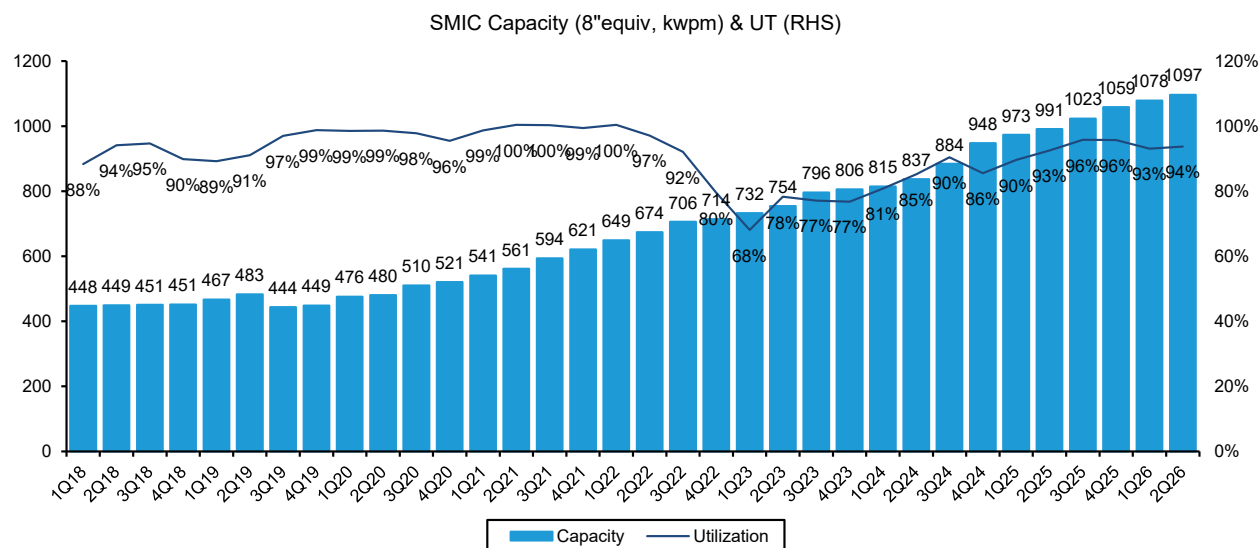
Source: Company reports, Bernstein analysis

EXHIBIT 6: **SMIC's ASP increased 6% QoQ in 2Q26**

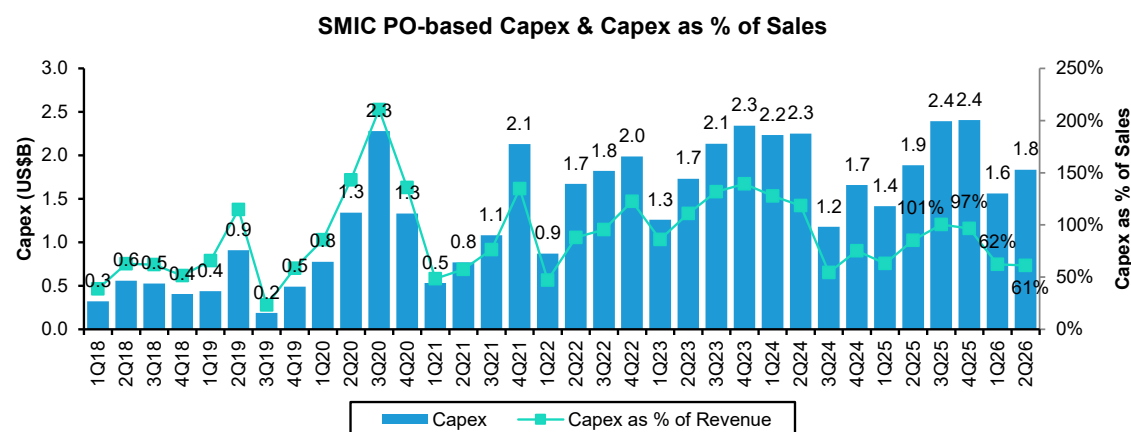
Source: Company reports and Bernstein analysis

EXHIBIT 7: **R&D ratio decreased to 6.9% and SG&A ratio ratio decreased to 4.5% in 2Q26**

Source: Company reports, Bernstein analysis

EXHIBIT 8: Capacity increased to 1,097 kwpm (8" equiv) and UT further increased to 94% in 2Q26

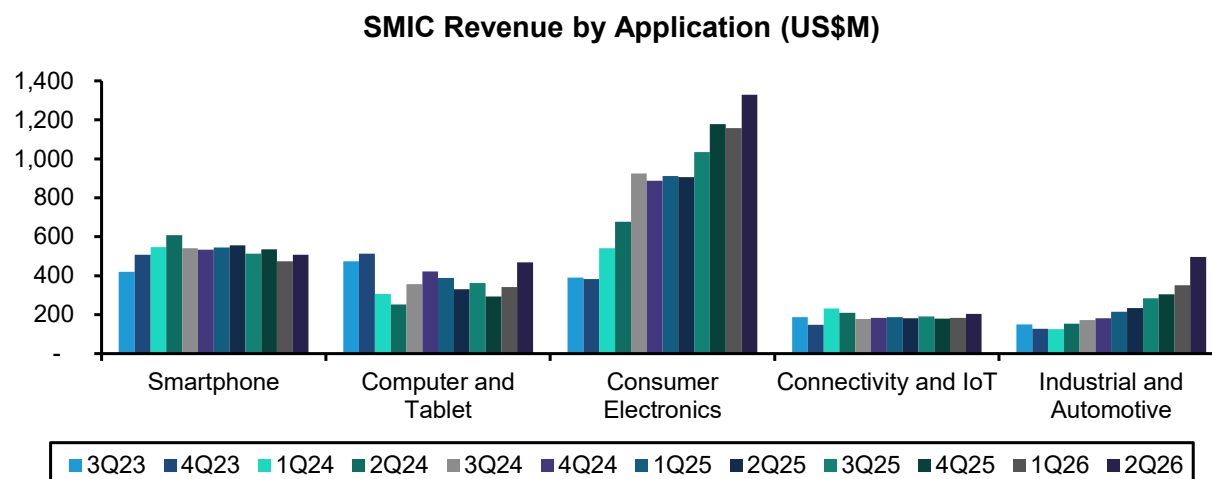
Source: Company reports, Bernstein analysis

EXHIBIT 9: CapEx was 1.8bn in 2Q26

PO: purchase-based

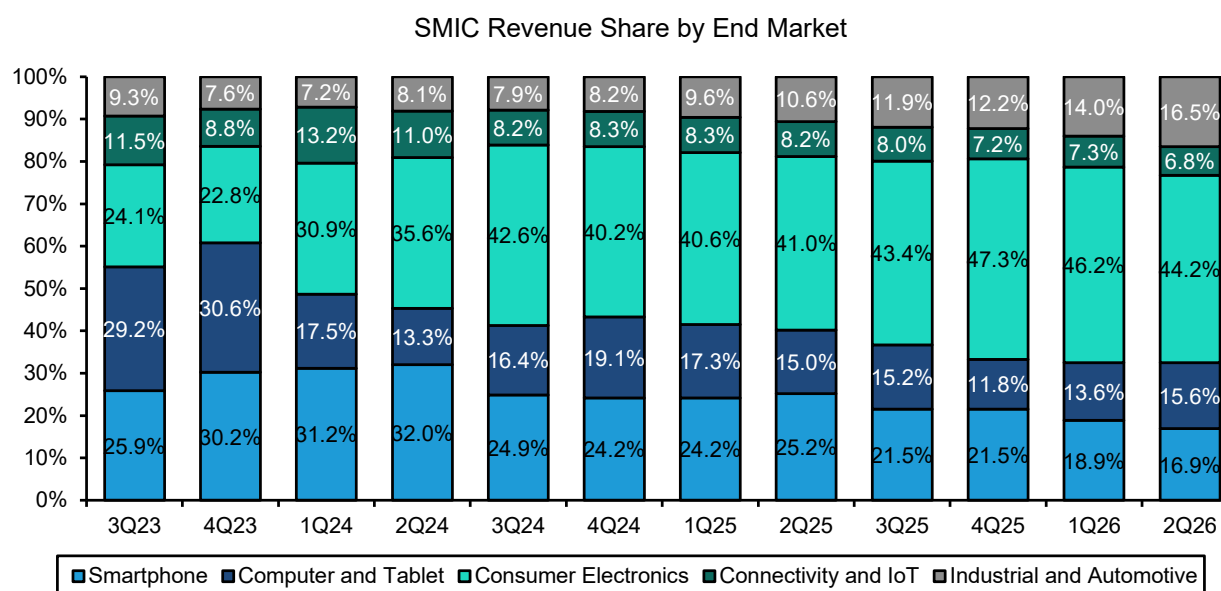
Source: Company reports, Bernstein analysis

EXHIBIT 10: **Compute and Industrial & Automotive kept driving the growth in 2Q26**

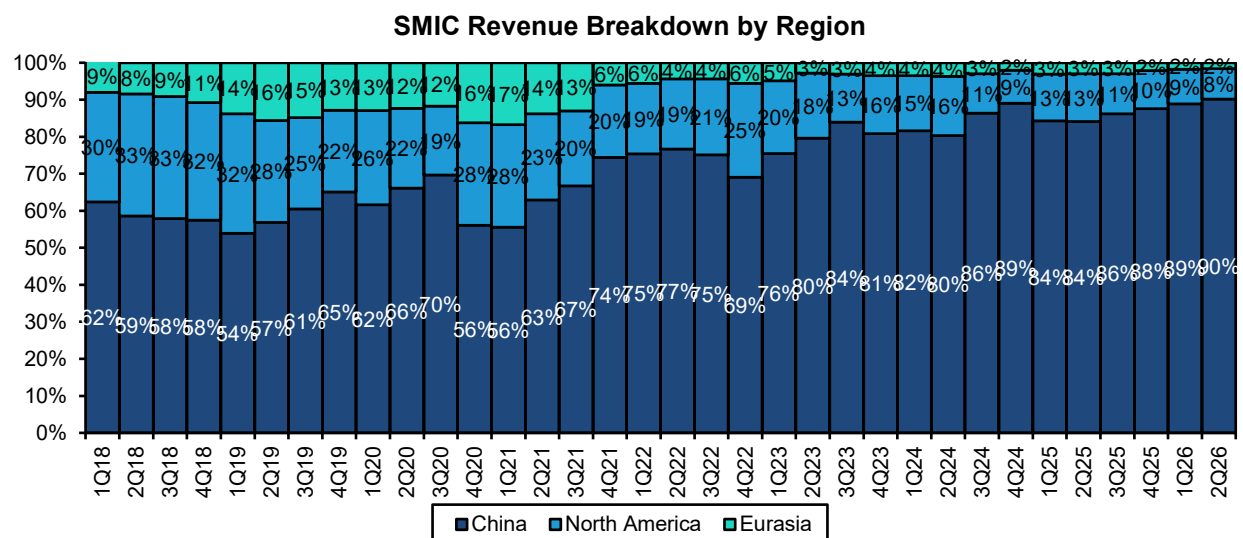


Source: Company reports, Bernstein analysis

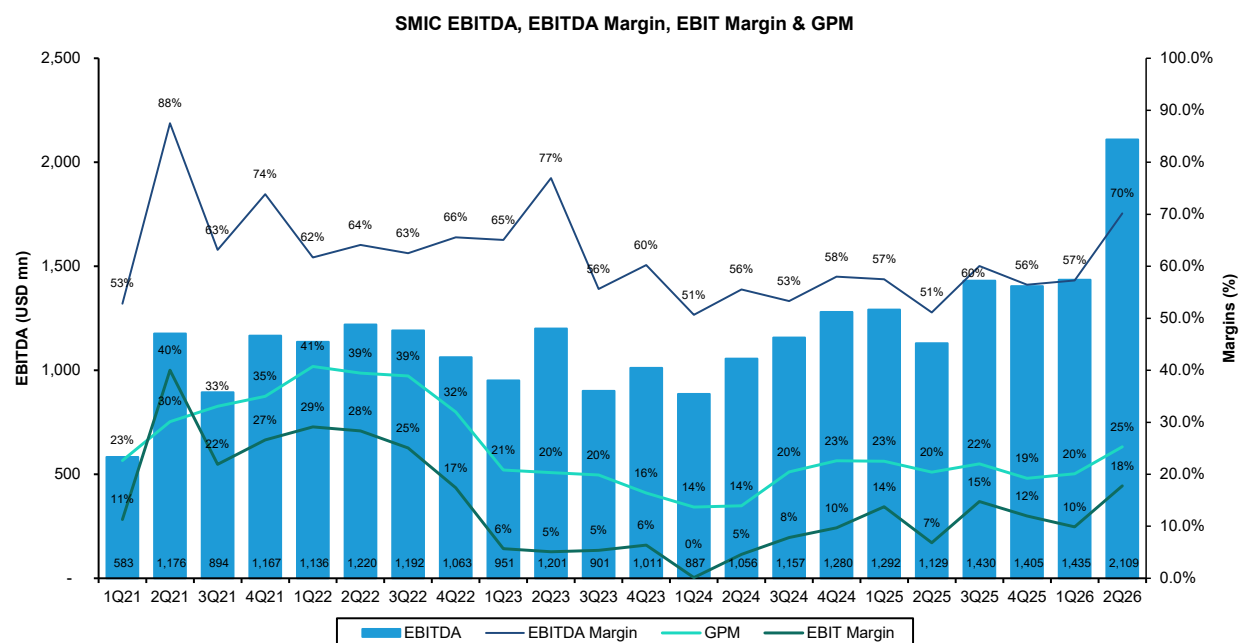
EXHIBIT 11: **Compute and Industrial & Automotive drove the growth in 2Q26**



Source: Company reports, Bernstein analysis

EXHIBIT 12: **China revenue contribution further increased 100bps to 90% in 2Q26**

Source: Company reports, Bernstein analysis

EXHIBIT 13: **SMIC EBITDA margin increased to 70% in 2Q26**

Source: Company reports, Bernstein analysis

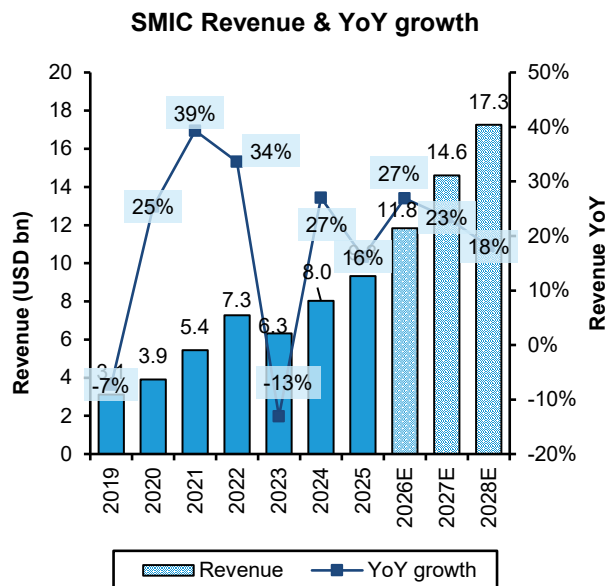
MODEL UPDATE

To reflect the strong results, we update our company model and future forecasts. In detail, we further revise up the revenue forecasts in 2026, given the strong performance the company achieved in 2Q26 and consistent confidence for the rest of the year. And we agree that the tight supply-demand relationship is going to maintain in 2027/28, securing further improvement room for topline performance. As for GPM, we believe the ASP improvement will not stop in the near future, implying further improvement potential in GPM, therefore, we further revise up our GPM forecasts from 2026 to 2028 to 27%/23%/18% respectively. Sequentially, strong topline performance ensures the company more capability on expense control, leading to further revise up in OPM as well (13%/15%/19% respectively for 2026/27/28). All these increases should ultimately translate into the company's net profit and NPM performances. The detailed company model can be downloaded [here](#).

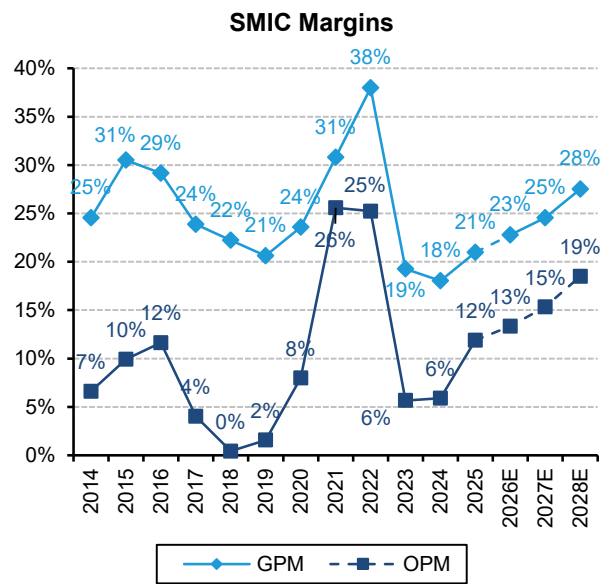
EXHIBIT 14: SMIC: Bernstein vs. Consensus

Revenue (USD mn)	2023	2024	2025	2026E	2027E	2028E
Bernstein	6,322	8,030	9,327	11,835	14,604	17,250
Growth YoY	(13%)	27%	16%	27%	23%	18%
Consensus				11,579	13,805	16,011
Growth YoY				24%	19%	16%
Bernstein vs. consensus				2%	6%	8%
Bernstein old				11,497	13,969	16,325
Growth YoY				23%	22%	17%
New vs. Old				3%	5%	6%
Gross profit						
Bernstein	1,218	1,448	1,957	2,694	3,584	4,747
GP Margin	19%	18%	21%	23%	25%	28%
GP Growth YoY	(56%)	19%	35%	38%	33%	32%
Consensus				2,585	3,297	4,086
GP Margin				22%	24%	26%
GP Growth YoY				32%	28%	24%
Bernstein vs. consensus - GPM				44bps	66bps	200bps
Bernstein vs. consensus - GP				4%	9%	16%
Bernstein old				2,535	3,265	4,157
GP Margin				22%	23%	25%
GP Growth YoY				30%	29%	27%
New vs. Old - GPM				71bps	117bps	206bps
New vs. Old - GP				6%	10%	14%
Operating profit						
Bernstein	358	474	1,110	1,579	2,239	3,192
OP Margin	6%	6%	12%	13%	15%	19%
OP Growth YoY	(81%)	32%	134%	42%	42%	43%
Consensus				1,447	1,977	2,567
OP Margin				12%	14%	16%
OP Growth YoY				30%	37%	30%
Bernstein vs. consensus - OPM				85bps	100bps	247bps
Bernstein vs. consensus - OP				9%	13%	24%
Bernstein old				1,380	1,927	2,626
OP Margin				12%	14%	16%
OP Growth YoY				24%	40%	36%
New vs. Old - OPM				134bps	153bps	242bps
New vs. Old - OP				14%	16%	22%
Net income attributable to shareholders						
Bernstein	874	464	695	1,050	1,507	2,326
NP Margin	14%	6%	7%	9%	10%	13%
Growth YoY	(48%)	(47%)	50%	51%	44%	54%
Consensus				1,121	1,553	2,052
NP Margin				9%	11%	12%
Growth YoY				58%	39%	32%
Bernstein vs. consensus - NPM				(60bps)	(32bps)	159bps
Bernstein vs. consensus				-6%	-3%	13%
Bernstein old				994	1,345	2,021
NP Margin				9%	10%	12%
Growth YoY				43%	35%	50%
New vs. Old - NPM				22bps	69bps	111bps
New vs. Old - NP				6%	12%	15%

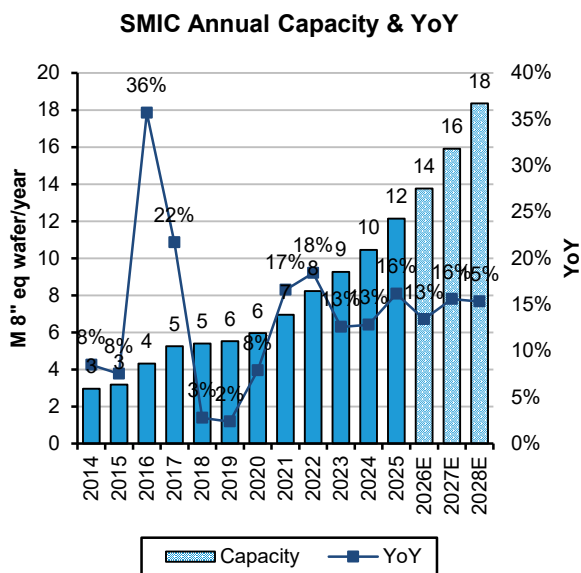
Source: Company reports, Bloomberg, Bernstein estimate and analysis

EXHIBIT 15: **SMIC Revenue & YoY growth**

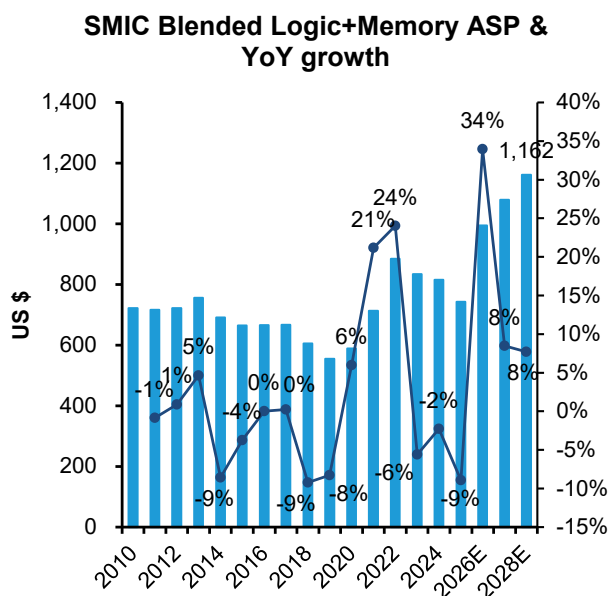
Source: Company reports, Bernstein estimates and analysis

EXHIBIT 16: **SMIC GPM & OPM**

Source: Company reports, Bernstein estimates and analysis

EXHIBIT 17: **SMIC capacity and YoY growth**

Source: Company reports, Bernstein estimates and analysis

EXHIBIT 18: **SMIC blended ASP & YoY growth**

Source: Company reports, Bernstein estimates and analysis

APPENDIX - FINANCIAL FORECASTS

EXHIBIT 19: SMIC financial statements

US\$ in Millions	2022	2023	2024	2025	2026E	2027E	2028E
Income Statement							
Net Sales	7,273	6,322	8,030	9,327	11,835	14,604	17,250
Gross Profit	2,762	1,218	1,448	1,957	2,694	3,584	4,747
SG&A Expense+Govt Grants	193	153	209	73	276	382	417
R&D Expense	733	707	765	774	838	964	1,139
EBIT	1,836	358	474	1,110	1,579	2,239	3,192
EBITDA	4,107	3,025	3,697	4,920	6,455	8,077	9,322
Non-operating Income	257	801	357	(26)	132	156	189
Pretax Income	2,093	1,159	831	1,083	1,712	2,395	3,380
Tax	16	63	130	84	256	455	714
Net Income	1,696	874	464	695	1,050	1,507	2,326
Earnings Per Share (US\$ in Cents)	21.45	11.02	5.84	8.70	12.72	17.20	25.96
Margin Analysis							
Gross Profit	38.0%	19.3%	18.0%	21.0%	22.8%	24.5%	27.5%
EBIT	25.2%	5.7%	5.9%	11.9%	13.3%	15.3%	18.5%
EBITDA	56.5%	47.9%	46.0%	52.8%	54.5%	55.3%	54.0%
Pretax Income	28.8%	18.3%	10.3%	11.6%	14.5%	16.4%	19.6%
Net Income	23.3%	13.8%	5.8%	7.5%	8.9%	10.3%	13.5%
Sequential Growth							
Net Sales	33.6%	-13.1%	27.0%	16.2%	26.9%	23.4%	18.1%
Gross Profit	64.8%	-55.9%	18.9%	35.1%	37.7%	33.0%	32.4%
EBIT	31.8%	-80.5%	32.5%	134.2%	42.3%	41.7%	42.6%
EBITDA	25.9%	-26.3%	22.2%	33.1%	31.2%	25.1%	15.4%
Pretax	31.8%	-44.6%	-28.3%	30.4%	58.0%	39.9%	41.2%
Net Income	17.0%	-48.5%	-46.9%	49.8%	51.0%	43.5%	54.4%
Earnings Per Share	16.9%	-48.6%	-47.0%	49.0%	46.1%	35.3%	51.0%
Balance Sheet							
Cash and Cash Equivalents	6,933	6,215	6,364	5,873	8,313	9,199	11,879
Accounts Receivable	1,303	1,170	840	1,433	1,794	2,122	2,522
Inventory	1,911	2,736	2,958	3,630	4,619	5,393	6,032
Net Fixed Assets	18,856	23,945	28,092	32,558	34,700	36,861	38,731
Total Assets	43,808	47,787	49,161	52,271	60,350	66,937	76,716
Accounts Payable	3,022	3,728	3,279	2,966	4,232	4,558	5,249
Total Debt	8,585	10,150	11,570	12,588	14,660	16,268	18,191
Shareholders' Equity	19,150	20,116	20,614	21,440	26,509	30,412	36,881
Minority Interests & PSCS	9,811	10,730	11,256	13,581	12,826	13,260	13,600
Cash Flow							
Cash Flow From Operations	5,348	3,358	3,176	3,194	6,861	7,277	8,757
Cash Flow From Investments	(10,392)	(6,208)	(4,518)	(6,495)	(8,168)	(8,000)	(8,000)
Cash Flow From Financing	3,614	2,466	1,608	2,676	3,616	1,608	1,924

Source: Company reports, Bernstein estimates and analysis

BERNSTEIN TICKER TABLE

Ticker	Rating	Cur	14 Aug 2026	Price Target	TTM	Reported EPS				Reported P/E (x)		
			Closing Price		Rel. Perf.	Cur	2025A	2026E	2027E	2025A	2026E	2027E
981.HK (SMIC-H)	O	HKD	71.30	120.00	6.0%	USD	0.09	0.13	0.17	104.4	71.5	52.8
OLD								0.12	0.16			
688981.CH (SMIC-A)	O	CNY	132.87	220.00	17.4%	USD	0.09	0.13	0.17	226.3	154.9	114.5
OLD								0.12	0.16			
ASIAx			1,956.05									

ESTIMATE CHANGE IN BOLD

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

DISCLOSURE APPENDIX

I. REQUIRED DISCLOSURES

References to "Bernstein" or the "Firm" in these disclosures relate to the following entities: Bernstein Institutional Services LLC (April 1, 2024 onwards), Sanford C. Bernstein & Co., LLC (pre April 1, 2024), Bernstein Autonomous LLP, BSG France S.A. (April 1, 2024 onwards), Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司, Sanford C. Bernstein (Canada) Limited, Sanford C. Bernstein (India) Private Limited (SEBI registration no. INH000006378), Sanford C. Bernstein (Singapore) Private Limited, Sanford C. Bernstein Japan KK (サンフォード・C・バーンスタイン株式会社) and analysts employed by Société Générale Africa Technologies & Services to produce Bernstein research under a Global Services Agreement in place between Bernstein and Société Générale.

Bernstein is part of a joint venture between Société Générale (SG) and AllianceBernstein, L.P. (AB). Unless specifically noted otherwise, for purposes of these disclosures, references to Bernstein's "affiliates" relate to both SG and AB and their respective affiliates.

VALUATION METHODOLOGY**Semiconductor Manufacturing International Corp**

We value SMIC with H-share PT HKD 120 and A-share PT CNY 220, based on average NTM+1 BVPS of 3.36 USD, and 4.6x P/B with 1.6x A-H Premium.

RISKS**Semiconductor Manufacturing International Corp**

Downside risks:

- Further unexpected sanctions from the U.S. hinder its capacity expansion plan or seriously affect its continuous operation.
- Worse-than-expected downstream demand recovery results in lower-than-expected utilization and ASP at SMIC.
- Faster-than-expected capacity expansion from competitors would lead to supply/demand imbalance and worse prices.

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION**EQUITY RATINGS DEFINITIONS****Bernstein brand**

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIAAX) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

The Bernstein brand has three categories of ratings:

- Outperform: Stock will outpace the market index by more than 15 pp
- Market-Perform: Stock will perform in line with the market index to within +/- 15 pp
- Underperform: Stock will trail the performance of the market index by more than 15 pp

Coverage Suspended: Coverage of a company under the Bernstein research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors

on events and developments.

Not Covered (NC) denotes companies that are not under coverage.

Bernstein brand stock ratings are based on a 12-month time horizon.

Autonomous brand – common stocks

The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 600 Financials Price Return Index (E600BK) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 600 Insurance Price Return Index (E600IN) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments, and the Bloomberg Japan Financials Large & Mid Cap Price Return Index (JPFILM) for Japanese Financials. Ratings are stated relative to the sector (not the market).

The Autonomous brand has three categories of common stock ratings:

- Outperform (OP): Stock will outpace the relevant index by more than 10 pp
- Neutral (N): Stock will perform in line with the market index to within +/- 10 pp
- Underperform (UP): Stock will trail the performance of the relevant index by more than 10 pp

Coverage Suspended: Coverage of a company under the Autonomous research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

Not Covered (NC) denotes companies that are not under coverage.

Autonomous brand common stock ratings are based on a 12-month time horizon.

Autonomous brand – preferred stocks

The Autonomous brand has three categories of preferred stock ratings:

- Outperform (OP): The total return of the preferred instrument is expected to outperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Neutral (N): The total return of the preferred instrument is expected to perform in line with preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Underperform (UP): The total return of the preferred instrument is expected to underperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.

Autonomous preferred stock ratings are based on a 6-month time horizon.

AUTONOMOUS CREDIT RESEARCH

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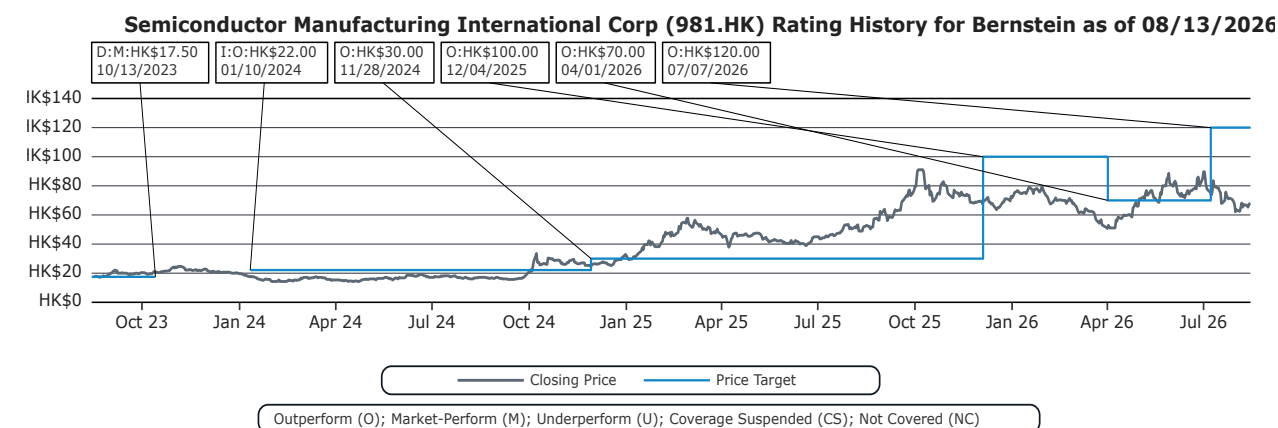
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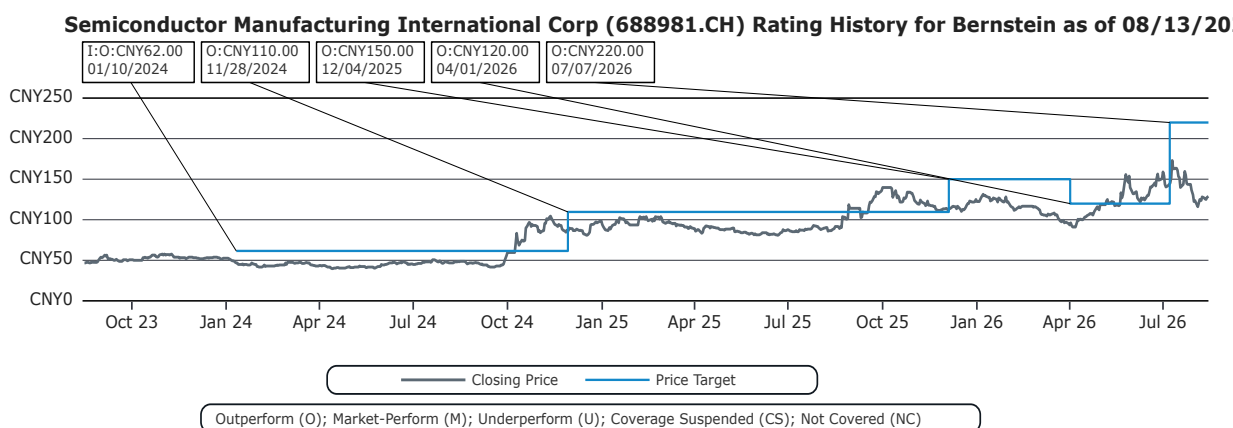
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